

June 21, 2026 05:51 PM GMT

Investor Presentation | Asia Pacific

Beijing Will Fine-tune, Not Pivot

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[Beijing Will Fine-tune, Not Pivot \(18 June 2026\)](#)

[Lujiazui Takeaways: Better Rate Transmission, Gradual Capital Account Opening \(17 June 2026\)](#)

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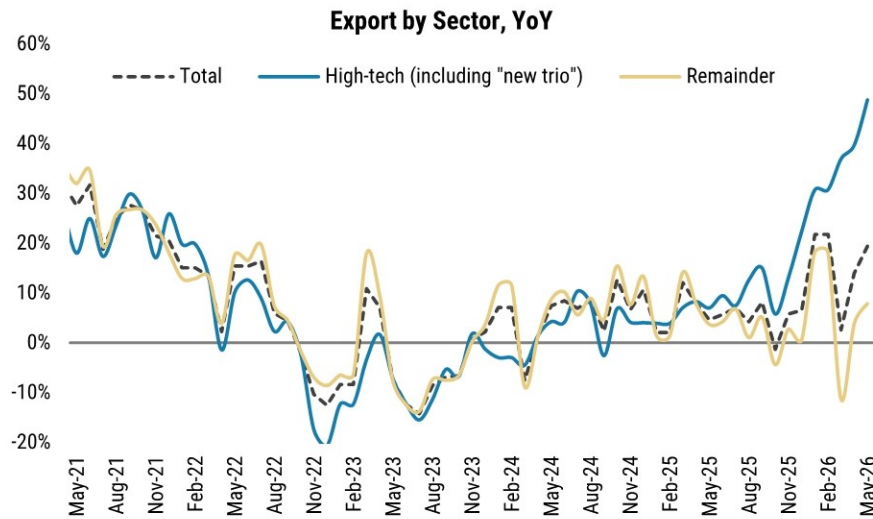
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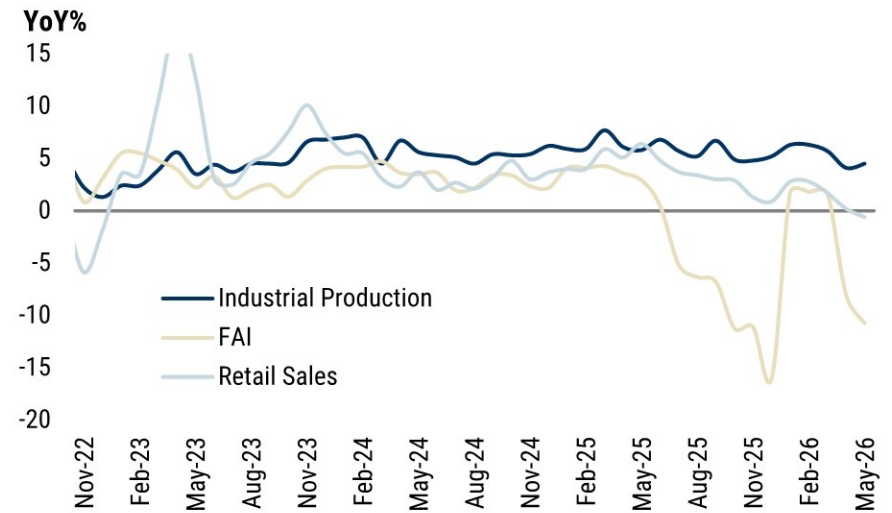
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China's Two-Speed Economy Is Deepening

Strong exports underpin robust industrial production



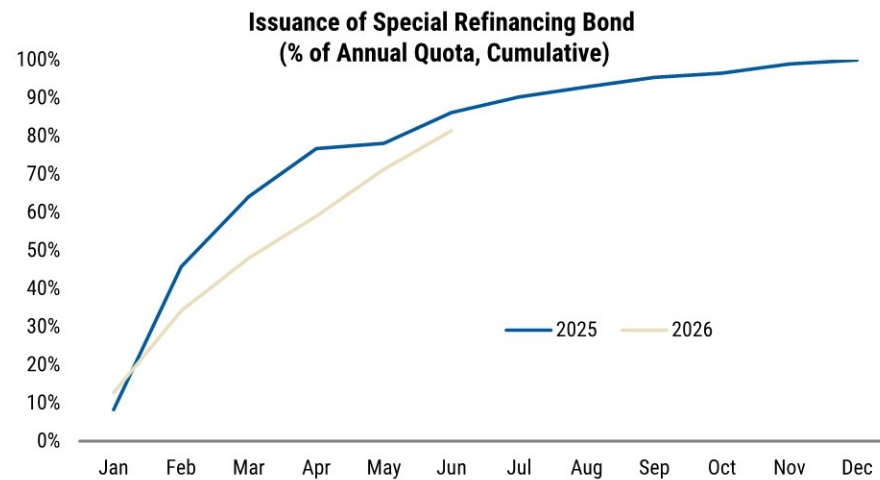
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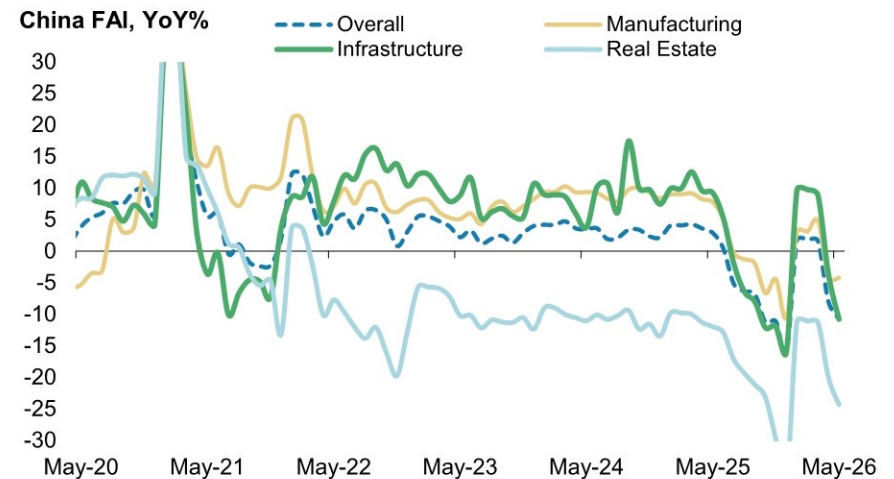
Source: CEIC, Morgan Stanley Research

FAI – Direction Matters More Than Magnitude

Increasing focus on resolving hidden debt amid the “correct view of performance and achievements”



Some previously overstated and front-loaded FAI reporting may also be corrected

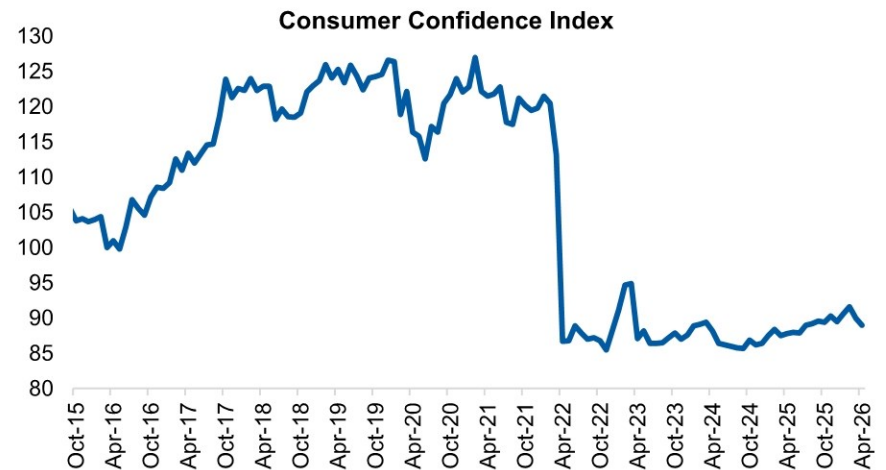
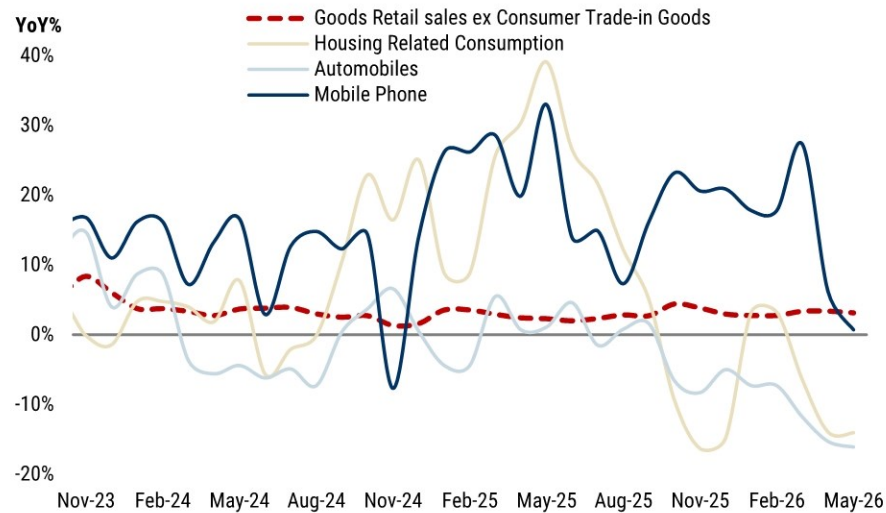


Source: CEIC, Morgan Stanley Research

Consumption Is Confronting a High Base and Subdued Labor Market

The negative YoY retail sales in May largely reflected a high base from last year's trade-in subsidy program...

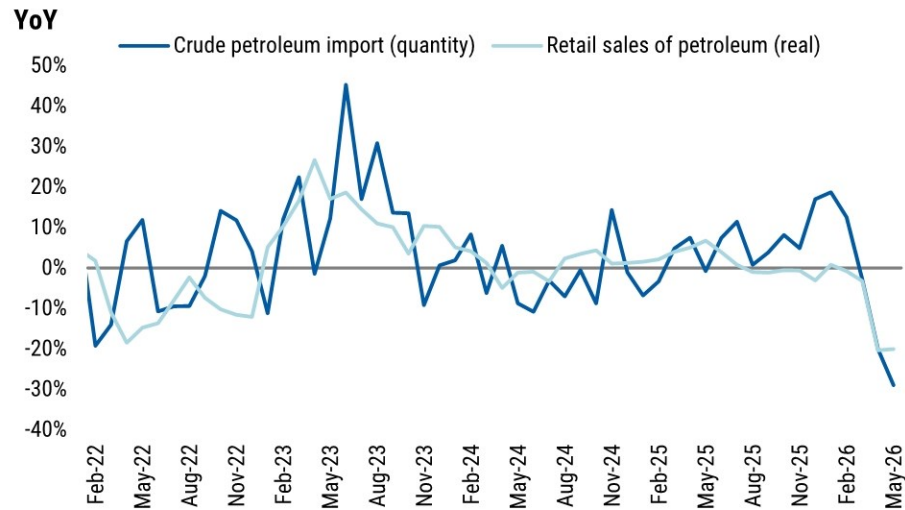
...although the slowdown is more than a base effect



Source: CEIC, Morgan Stanley Research

Growth Drag from Oil Shock Manageable, But Reinforces the K-Shaped Economy

Consumers appear to be cutting back on non-essential oil consumption, including ICE vehicle usage...



...and air travel

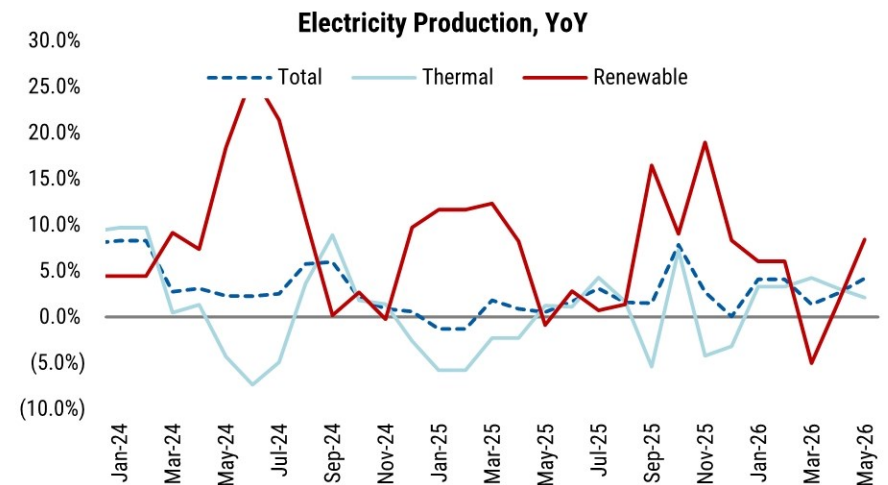
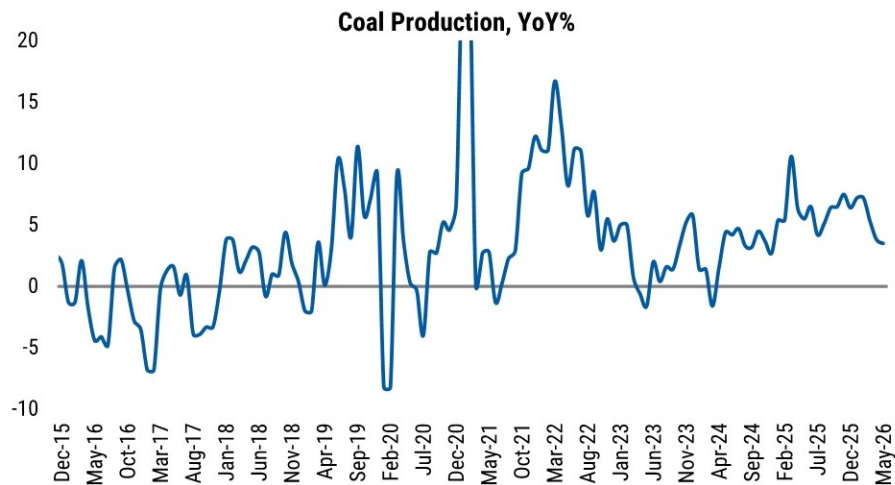


Source: CEIC, Morgan Stanley Research

Growth Drag from Oil Shock Manageable, But Reinforces the K-Shaped Economy (Cont.)

Overall industrial activity cushioned by several buffers:
commercial crude inventories, resilient coal supply...

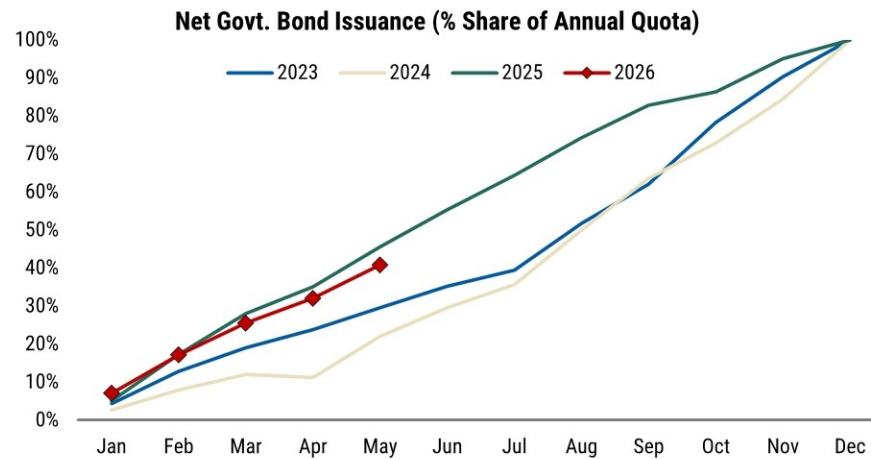
...and still robust electricity generation



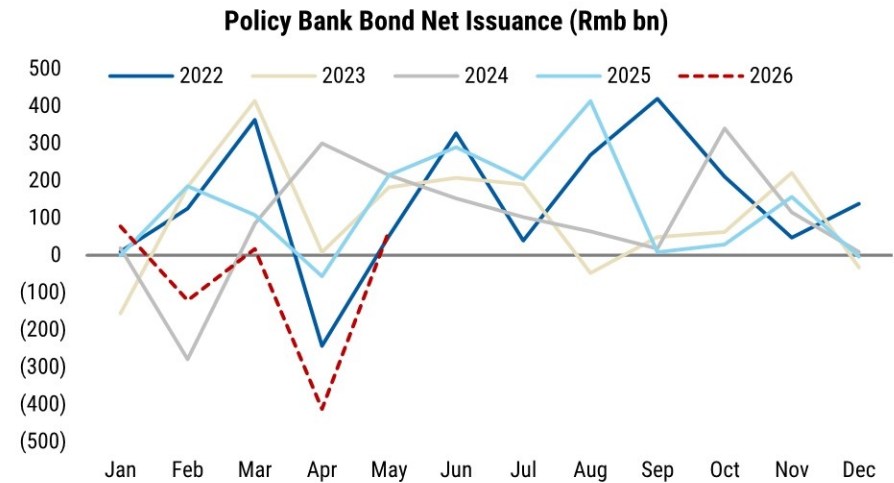
Source: CEIC, Morgan Stanley Research

Policy Implication: Renewed Urgency for Fiscal Fine-tuning

There is room for policy catch-up: ~60% of the annual government bond quota remains unused



Rollout of the Rmb800bn in quasi-fiscal financing tools for infrastructure remains slow



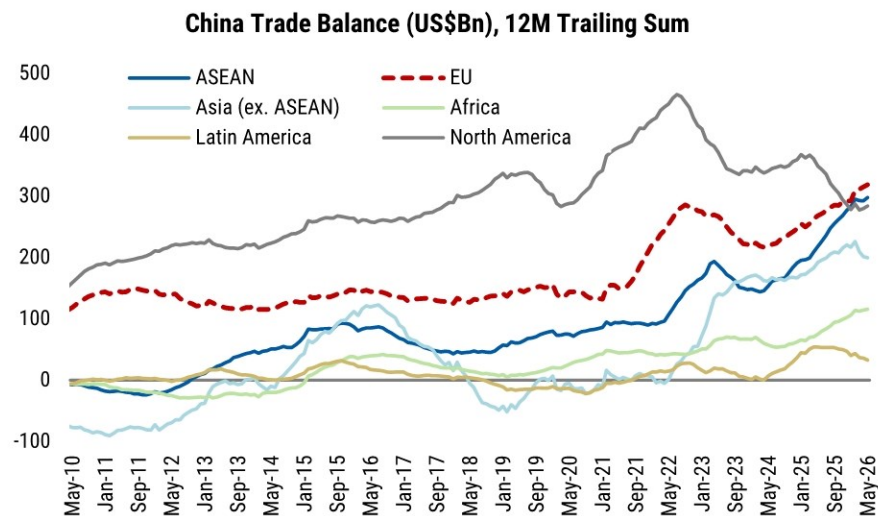
Beijing's preferred demand support remains strategic infrastructure:

We expect stronger budget execution from 3Q, with focus on AI and energy transition in the “six networks”

Source: CEIC, Morgan Stanley Research

Rising Risk of Trade Frictions amid Deepening Two-Speed Economy

China trade balance by region



Potentially stronger EU trade defense

EU trade policy toolkit



Source: CEIC, Morgan Stanley Research

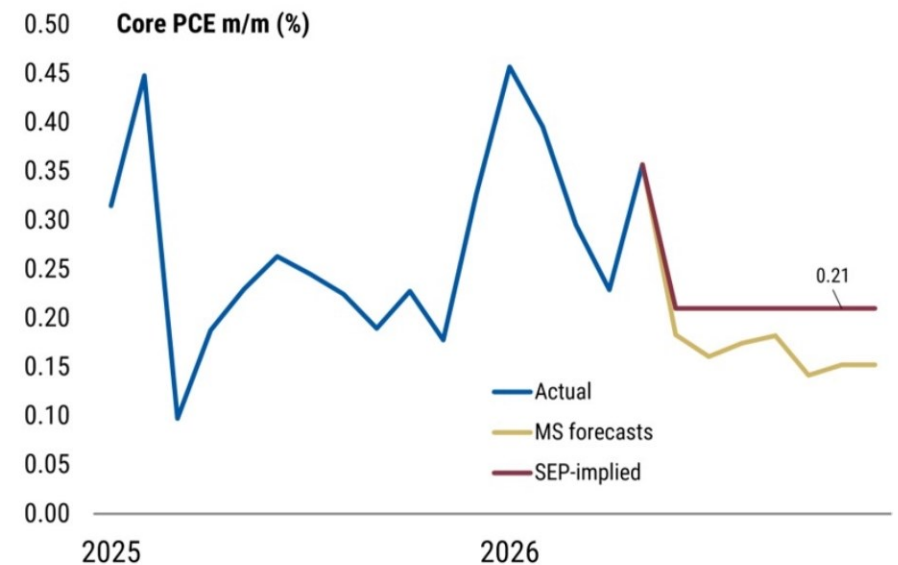
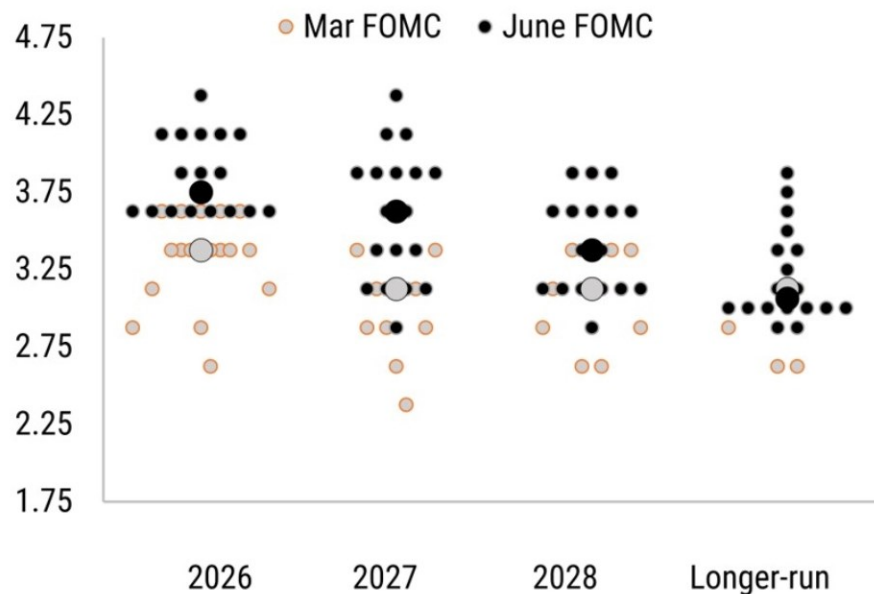
Fed Policy Outlook

Fed Inflation Expectations Look High to Our US Economics Team

June versus March dot plot

The inflation trajectory we anticipate is slower and is consistent with the Fed staying on hold through year-end

Assessments of appropriate policy



Our lower path is based on three factors:

- Reversal in travel-related inflation
- Residual seasonality
- Tariff payback

Source: BEA, Morgan Stanley Research estimates. For more details, see [Fed inflation expectations look high to us \(18 June 2026\)](#)

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